Grade 12 Economics Study Guide

Federal Democratic Republic of Ethiopia • Ministry of Education • Comprehensive Review Notes

UNIT 1: THE FUNDAMENTAL CONCEPTS OF MACROECONOMICS

Macroeconomics examines aggregate economic performance—studying economy-wide phenomena such as total output, price levels, and employment rather than individual markets.

Core Metrics & GDP Measures

- **GDP:** Market value of all final goods and services produced domestically.
- **GNP:** GDP plus Net Factor Income from abroad (NFI).
- **Approaches:** Product/Value-added, Expenditure, and Income approaches.

Economic Challenges

- **Inflation:** Continuous rise in general price level (measured via CPI).
- **Unemployment:** Frictional, structural, and cyclical types.
- **Business Cycles:** Expansion, peak, contraction, trough.

Key Formula (Expenditure Approach): GDP = C + I + G + (X − M)
Inflation Rate: [(Current CPI − Past CPI) / Past CPI] × 100

UNIT 2: AGGREGATE DEMAND AND AGGREGATE SUPPLY ANALYSIS

Macroeconomic equilibrium occurs where Aggregate Demand equals Short-Run Aggregate Supply ($AD = SRAS$).

- **Aggregate Demand Components:** Consumption, Investment, Government Spending, Net Exports. Slopes downward due to real balance, interest rate, and trade effects.
- **Aggregate Supply Dynamics:** SRAS is upward sloping (sticky wages/prices); LRAS is vertical at potential GDP. Shocks alter output and prices simultaneously (Demand shocks push P and Y together; Supply shocks cause inverse changes like stagflation).

UNIT 3: MARKET FAILURE AND CONSUMER PROTECTION

Market failures occur when free markets fail to allocate resources efficiently, causing deadweight loss.

- **Public Goods:** Characterized by non-rivalry and non-excludability, giving rise to the free-rider problem.
- **Externalities:** Costs or benefits imposed on third parties. Negative externalities cause overproduction (solved via Pigouvian taxes); positive externalities cause underproduction (solved via subsidies).
- **Asymmetric Information:** Adverse selection (hidden info before deals) and moral hazard (hidden actions after contracts).
- **Consumer Protection:** Safeguarded in Ethiopia via Proclamation No. 813/2013 against unfair trade practices.

UNIT 4: MACROECONOMIC POLICY INSTRUMENTS

Governments and central banks deploy targeted policies to stabilize business fluctuations, maintain price stability, and encourage growth.

Policy Type	Key Instruments	Expansionary Goal	Contractionary Goal
Fiscal Policy	Government Spending (G) & Taxes (T)	Increase G, Cut T (fight recession)	Cut G, Raise T (cool inflation)
Monetary Policy	Open Market Ops, Discount Rate, Reserve Ratio	Lower rates, buy bonds, lower reserves	Raise rates, sell bonds, raise reserves
Foreign Exchange	Exchange rate frameworks (Fixed vs. Flexible)	Depreciation/Devaluation (boost exports)	Appreciation/Revaluation (cheapen imports)

Price Controls: Price ceilings create artificial shortages below equilibrium, whereas price floors generate surpluses above equilibrium (e.g., minimum wages).

UNIT 5: TAX THEORY AND PRACTICE

Taxes are compulsory, unrequited payments levied by the government. Adam Smith's canons of taxation emphasize equity, certainty, convenience, and economy.

- **Tax Structures:** Progressive (higher rates for higher earners), Proportional (flat rate), and Regressive (higher burden on low earners).
- **Direct vs. Indirect:** Direct taxes fall on income/wealth (Schedule A-E in Ethiopia), while indirect taxes like VAT, excise, and turnover taxes shift burden to consumers.
- **Compliance Challenges:** Mitigation of tax evasion (illegal) and tax avoidance (legal loopholes).

UNIT 6: POVERTY AND INEQUALITY

Poverty encompasses absolute deprivation (basic needs threshold) and relative inequality. Amartya Sen's Capability Approach highlights that poverty is fundamentally the deprivation of human freedoms and capabilities.

Inequality Metrics

Lorenz Curve: Maps cumulative population shares against income shares.

Gini Coefficient: Ranges from 0 (perfect equality) to 1 (complete inequality).

Gender & Development

Women experience disproportionate poverty due to informal labor participation, heavy unremunerated domestic duties, and unequal structural resource access.

Key Takeaway: Sustainable economic development requires balancing monetary growth with equity, robust taxation frameworks, and effective market regulation.